

CHAPTER 1

Planning for Investment Success

KEY CONCEPTS

- Investment planning is critical to long-term success.
- Asset allocation is the key element of investment planning.
- Discipline and commitment to a strategy are needed.
- There are no shortcuts to achieving financial security.

A successful lifelong investment experience hinges on three critical steps: the development of a prudent investment plan, the full implementation of that plan, and the discipline to maintain the plan in good times and bad. If you create a good plan and follow it, your probability of financial freedom increases exponentially.

An investment plan provides the road map to fair and equitable investment results over the long term. Your asset allocation decision is the most important step in investment planning. This is the amount of money you commit to each of various asset classes, such as stocks, bonds, real estate, and cash. It is your asset allocation that largely determines the growth path of your money and level of portfolio risk in the long run. Exactly how you invest in each of these asset classes is of lesser importance than owning the asset classes themselves, although some ways are better and less expensive than others.

What is your current investment policy? Consider the following two portfolio management strategies. Which one best describes you today?

- *Plan A.* Buy investments that I expect will perform well over the next few years. If an investment performs poorly or the prospects change, switch to another investment or go to cash and wait for a better opportunity.
- *Plan B.* Buy and hold different types of investments in a diversified portfolio regardless of their near-term prospects. If an investment